

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 23-08

**MEDITERRANEAN SHIPPING COMPANY, S.A. – POSSIBLE VIOLATIONS OF THE
SHIPPING ACT, 46 U.S.C. §§ 41102(c), 40501 and 41104(a)(2)(A)**

**RESPONDENT MEDITERRANEAN SHIPPING COMPANY, S.A.’S
EXCEPTIONS TO INITIAL DECISION**

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I. INTRODUCTION

Pursuant to 46 C.F.R. § 502.227, Respondent MSC Mediterranean Shipping Company S.A. (“MSC”) hereby excepts to those portions of Presiding Officer’s February 25, 2025, Initial Decision (“ID”) that find a violation of § 40501 of the Shipping Act of 1984, as amended, and impose an unprecedented penalty of \$15.96 million for that violation.

The finding of a violation is inconsistent with certain findings of fact and thus is unsupported by the evidence in the record. Moreover, this inconsistency renders the finding of a violation arbitrary and capricious. In this regard, the finding of a violation improperly conflates a tariff provision with a mistake in MSC’s internal billing system. Although the Presiding Officer found the tariff provision to be ambiguous, it was properly applied by MSC in the vast majority of cases and also properly understood by much of the shipping public. Accordingly, the ID does not make clear whether MSC is being penalized for the mistake in the billing system or the tariff provision and therefore is arbitrary and capricious.

The penalty imposed for the alleged violation is more than double any penalty ever imposed by the Commission on a single respondent and more than quadruple any penalty paid by a single respondent. As explained in greater detail below, the penalty is such a drastic departure from Commission norms that it is arbitrary and capricious. In addition, the penalty is based on an improper assessment of the factors to be considered in determining the amount of a civil penalty. The ID did not properly weigh the nature, gravity and extent of the violation and improperly ignored relevant mitigating factors. Finally, the adjudication of the proceeding by the Presiding Officer and the assessment of the penalty are unconstitutional.

The Commission should vacate the violation or, if the finding of a violation is upheld, vacate the penalty as unconstitutional. At a minimum, the Commission should reduce the penalty

to between \$2 and \$3 million as previously urged by MSC, but in any event no more than a maximum of \$4.25 million, and should also terminate this proceeding.

II. FACTUAL BACKGROUND

As relevant to these exceptions, this case involves the assessment of demurrage charges on non-operating reefer containers (“NORs”).

During 2021, MSC’s tariff contained demurrage, detention and per diem charges (“DDP”) for various sizes of dry and reefer containers. ID, Finding of Fact (“FOF”) #84. That rule did not contain a charge expressly applicable to NORs. FOF #85. MSC’s policy was to treat NORs as dry containers for purposes of demurrage, and all terminals were instructed to bill NORs at dry container rates. FOF #93; ID at p. 40. MSC billed DDP to 11,480 NORs during 2021. FOF #89. Of those 11,480 NORs, 8,851 were billed as dry containers under the tariffs and MSC’s policy. FOF ##89 and 99. To the extent NORs were billed as reefer containers rather than as dry containers, this was due to the inadvertent absence of a “Yes/No” flag in MSC’s internal tariff recording system. FOF ##99, 101, and 102. That error was corrected on September 16, 2021. FOF #102. There were only isolated instances of incorrect DDP invoices after that date. FOF #104. MSC has refunded the NOR overcharges. FOF #107.

The Presiding Officer found a violation of 46 U.S.C. § 40501 and assessed a penalty of \$20,000 per day for each of the 798 days MSC’s tariff did not contain DDP charges expressly applicable to NORs, for a total penalty of \$15.96 million. MSC now excepts to the finding of a violation as well as to the penalty and the manner in which it was determined.

III. APPLICABLE LEGAL STANDARD

Under the Administrative Procedure Act, the ID must be supported by and in accordance with reliable, probative, and substantive evidence. 5 U.S.C. § 556(d). In reviewing the ID, the

Commission has all the powers which it would have in making the initial decision. 46 C.F.R. § 502.227(a)(6). In other words, the ID is reviewed under a de novo standard.

IV. ARGUMENT

A. The Presiding Officer Erred In Finding A Violation of § 40501

The finding of a § 40501 violation is unsupported by the facts and is logically inconsistent. Accordingly, it should be reversed.

The finding of a § 40501 violation is unsupported by the Presiding Officer's own findings of fact. As the findings of fact cited in the Factual Background section above indicate, 8,851 of the 11,480 NORs for which MSC billed demurrage during 2021 were billed as dry containers in accordance with the tariff and MSC's policy. In discussing whether the NOR billing mistakes constituted a practice, the Presiding Officer stated that there was "no factual basis from which to conclude that the billing of NORs as reefers was the result of anything other than a mistake." ID at 41.

The foregoing statement reveals that the allegedly improper billing had nothing to do with the tariff but was in fact the result of a mistake, namely the error in MSC's billing system. When coupled with the fact that so many NORs were billed correctly -- something the Presiding Officer incorrectly dismissed as a *non sequitur* (ID at 40) -- the facts do not support a finding of a violation of § 40501.

Moreover, the finding of a violation is logically inconsistent and therefore arbitrary and capricious.¹ Immediately prior to the statement at page 40 of the ID that the allegedly improper billing was the result of a mistake, the Presiding Officer stated that overcharges were the result of

¹ A logical inconsistency alone renders an agency order arbitrary and capricious. *Evergreen Shipping Agency (America) Corp. v. FMC*, 106 F4th 1113, 1118 (D.C. Cir. 2024)(internal citations omitted).

“lack of clarity in the tariff.” ID at 39. This second statement is problematic for two reasons. First, it is unsupported by the facts, which show that the vast majority of NORs were billed as dry containers under the tariff in accordance with MSC’s policy. This, in turn, undermines the suggestion that MSC’s tariff was unclear. Second, it means that the ID attributes the allegedly improper billing of NORs to both the tariff and the mistake in the billing system. However, as a matter of logic, both cannot be true (especially since so many NORs were billed as dry containers). The result is a logical inconsistency that makes it impossible to know whether MSC is being penalized for the tariff content (or lack thereof) or the mistake in its billing system. This renders the finding of a violation arbitrary and capricious.

Finally, the Commission’s own case law recognizes that there are cases in which a tariff provision may be perceived as ambiguous. When a tariff is ambiguous, the law requires the ambiguity to be resolved in favor of the shipper. *United States Borax & Chemical Corp. v. Pacific Coast European Conference, et al.*, 11 FMC 451, 463 (FMC 1968) (where two tariff rates are equally appropriate, shipper entitled to lower rate); *Gelfand Manufacturing Company v. Bull Steamship Line, Inc.*, 1 USSSB 169, 171 (1930) (ambiguity in tariff construed against carrier). The ID found that MSC established a policy pursuant to which NORs were billed the lower charge applicable to dry containers (FOF #93; ID at 2). MSC therefore complied with the Commission’s precedent.

In light of the foregoing, the finding of a violation should be reversed.²

B. The Presiding Officer Erred in Assessing Penalty of \$15.96 Million For the Section 40501 Violation

The unprecedented penalty of \$15.96 million is excessive and improper for a variety of reasons. Each of these reasons is set forth in detail below.

1. The Penalty Is Arbitrary and Capricious

The amount of the penalty so far exceeds any other penalty imposed by the Commission - including penalties for more extensive and severe violations of the Shipping Act -- that it is arbitrary and capricious as a matter of law.

The Presiding Officer correctly acknowledged that consistency is a factor employed by courts in reviewing civil penalties imposed by administrative agencies. ID at 49, citing *Univ. of Texas M.D. Anderson Cancer Ctr. v. United States Dep't of Health & Hum. Servs.*, 985 F.3d 472, 479-80 (5th Cir. 2021) (penalty overturned as arbitrary and capricious where no penalty had been assessed in similar cases). Despite that acknowledgement, the Presiding Officer failed to ensure consistency between the penalty imposed for the NOR violation and past penalties imposed by the Commission. As a result, the difference between the penalty imposed on MSC and penalties in past FMC cases is so great that the penalty here is arbitrary and capricious.

As best as MSC is able to determine, the largest penalty ever imposed on a single entity by the Commission was \$7.9 million in *Hudson Shipping (Hong Kong) Ltd. d/b/a Hudson Express Lines – Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, FMC Docket No. 02-06.³ There is no evidence this penalty was ever paid. It appears the largest penalty ever imposed

² As discussed below, even if these flaws in the ID do not result in a reversal of the finding of a violation, they weigh heavily in favor of a reduction in the penalty assessed for that violation.

³ The reply brief of the Bureau of Enforcement, Investigations, and Compliance in this proceeding cites to penalties of \$20,105,950 and \$18,964,857 assessed in 1990 and 1991, respectively. Reply Brief at 36. However, those penalties were assessed against multiple respondents and hence are not appropriate comparisons for the penalty in this proceeding.

on a single entity and actually paid was a \$4 million penalty assessed against Sea-Land Service, Inc. in 1977.⁴

While the \$4 million penalty assessed in 1979 does not establish a permanent cap on subsequent penalties and the maximum permissible penalty has increased over time due to inflation, this \$4 million penalty remains a meaningful data point for assessing the reasonableness of the penalty in this proceeding. In this regard, it appears that penalty was paid pursuant to the settlement of an allegation that Sea-Land had paid rebates totaling approximately \$19 million to customers over a 4-year period.⁵ Even if one adjusts the \$4 million penalty for inflation over time, the \$19 million in rebates at issue in the Sea-Land case dwarfs the amount at issue in this proceeding, demonstrating the excessive and disproportionate nature of the penalty assessed by the Presiding Officer. Yet, the ID offers no justification as to why the NOR violation warrants a penalty more than four times greater than any penalty ever collected by the agency and essentially double the largest penalty the agency has ever imposed on a single entity.

That this penalty is so excessive as to be arbitrary and capricious is made manifest not only by the Sea-Land penalty discussed above but also by the much smaller penalties more recently imposed on other carriers for more extensive, longer lasting, and serious Shipping Act violations than are involved in the NOR violation. For example, in Compromise Agreement No. 17098(4), the Commission settled alleged Shipping Act violations for a penalty of \$1.5 million. The alleged violations in that case were:

Between at least the beginning of the applicable statute of limitations period and September 6, 2012, Respondents knowingly and willfully violated the Shipping Act by acting in concert with other ocean common carriers to operate under an agreement(s) with respect to the shipment of automobiles and other motorized vehicles by RO/RO or specialized car carrier vessels in various U.S. import

⁴ The Commission can take official notice of past penalties assessed from its own records. 46 C.F.R. § 502.226(a).

⁵ “Sea-Land To Pay U.S. \$4 Million As Rebate Fine,” NEW YORK TIMES, January 6, 1977.

and export trades, where such agreement(s) have not been filed with the Commission or become effective under the Shipping Act.

Between at least the beginning of the applicable statute of limitations period and May 2, 2016, Respondents violated the Shipping Act by participating under certain space charter agreements with other operators of RO/RO vessels, which agreements had not been validly filed with the Commission, or pursuant to agreements which were not yet effective under the Shipping Act.

Between at least the beginning of the applicable statute of limitations period and December 31, 2013, EUKOR violated the Shipping Act by providing service and operating pursuant to certain service contracts which had not been filed as required.

In terms of severity, failures to file agreements and service contracts are more serious violations of the Shipping Act than an allegedly ambiguous tariff rule on DDP charges for NORs. Moreover, it appears that the violations covered by Compromise Agreement No. 17098(4) were of greater duration than the Section 40501 violation for which MSC has been penalized.

The same is true of Compromise Agreements 17098, 17098(1) and 17098(2), all of which imposed penalties of between \$1.1 million and \$1.275 million for operating under unfiled agreements for a period of just under four years (1,468 days).⁶ A penalty of \$15.96 million is arbitrary and capricious as a matter of law when more serious and longer lasting violations were penalized \$1.5 million or less.⁷

In 2014, the Commission settled a case involving a carrier that, over a five-year period, failed to adhere to its tariffs and service contracts, accepted cargo from unbonded/untariffed OTIs, and operated pursuant to an unfiled agreement. The penalty in that case was \$190,000. *See*, Compromise Agreement No. 17109.

⁶ The Commission can take notice of these settlements under 46 C.F.R. § 502.226(a).

⁷ A penalty of \$1.5 million covering a period of 1,468 days is a per day penalty of just over \$1,021. If that per-violation penalty were applied to the 798 days herein at issue, the total penalty would be \$815,396.40.

The fact that the per-violation penalty assessed by the Presiding Officer roughly corresponds with the per-violation penalty in certain other cases is not a remedy for the lack of justification for the total penalty, as it still results in a penalty that is disproportionate to penalties assessed in other cases. The total penalty is more significant than the amount of penalty per violation.

In light of the substantial differences between the penalties assessed to other carriers for comparable or more serious violations of longer duration and the penalty assessed against MSC for the NOR violation, the penalty assessed with respect to the NOR violation should be substantially reduced to reflect its relative gravity, nature, and duration.

2. *The Presiding Officer Erred by Assessing the Same Penalty for Each of the 798 Days*

By assessing the same penalty for each of the 798 days of the NOR violation, the Presiding Officer erred in assessing the nature, circumstances, extent and gravity of the violation. Because factual circumstances varied during the 798-day time period, the per-violation penalty should be reduced to reflect more accurately the nature, circumstances, extent and gravity of the violation at different points in time.

There are three distinct sub-periods within the 798-day period for which the penalty was imposed: (i) January 1, 2021 (the first date in the period covered by the factual record), to September 15, 2021 (the last day of the period during which the mistake in MSC's billing system existed); (ii) September 16, 2021 (correction of billing system), to March 9, 2022 (the date of MSC's letter indicating it would revise its tariff); and (iii) March 10, 2022, to March 9, 2023 (the date MSC's tariff was revised). Each of these periods should be evaluated separately with respect to the penalty to be assessed.

The first period, from January 1, 2021, to September 15, 2021, is when virtually all erroneous invoices were issued. However, it is also the period during which MSC was unaware of the error in its billing system. The record reflects that MSC did not become aware of the billing problem until September 2, 2021. FOF #100. The Presiding Officer also correctly found that the billing problem was the result of a mistake. ID at 42. Had the “Yes/No” gate in the billing system been set up correctly, all or virtually all NORs would have been billed as dry containers and there would have been no incorrect invoices.⁸

Moreover, although some individuals at MSC may have been unclear about MSC’s policy with respect to the treatment of DDP charges for NORs, there was no reason Mr. Sidoti or anyone else in senior management at MSC (all of whom were clear on the policy) knew or should have suspected that the tariff was potentially ambiguous.

In light of the fact that incorrect invoices issued during the first period were the result of what the Presiding Officer found to be a mistake in the billing system, if the finding of a violation of Section 40501 is not overturned, such violation during this period should not be considered knowing and willful. Instead, any violation found to have occurred during this period should be treated as not knowing and willful, and a lesser penalty should be assessed. Accordingly, MSC suggests a maximum penalty of \$5,000 per day during this period would be appropriate.

The second period, from September 16, 2021, to March 8, 2022, follows the correction of the billing system. The problem of incorrect invoices was virtually eliminated. ID at 42. Moreover, MSC was still unaware at this point in time that the tariff was allegedly ambiguous. In fact, when customers brought incorrect invoices to the attention of MSC, it merely served to re-affirm MSC’s policy regarding the treatment of NORs and the fact that the shipping public

⁸ This is why the inconsistency in the ID discussed in Section III.A above is so damning to the validity of the ID and why the penalty is so excessive – but for the error in the billing system, the alleged lack of clarity in the tariff would never have caused any issues.

understood that policy – a policy that is in line with Commission precedent. *See United States Borax & Chemical Corp.*, 11 FMC at 463; *Gelfand Manufacturing Company*, 1 USSSB at 171. Accordingly, even if the finding of a violation is not overturned, no penalty should be assessed during this period.

The final period, from March 9, 2022, to March 8, 2023, is different from the other two. Again, the problem of incorrect invoices was virtually eliminated and thus the gravity of the violation was minimal. However, by this time, MSC had been advised by the FMC staff that it considered the tariff ambiguous, and MSC had committed to revise the tariff. Accordingly, if there was a violation due to an ambiguity in the tariff (which MSC denies), the violation during this period is the only one which might arguably be treated as knowing and willful. However, given the minimal impact of the violation at this point in time, MSC suggests that a maximum penalty of \$10,000 per day be assessed for this period.

Under the foregoing approach, which does not take into consideration the other extenuating circumstances and considerations discussed below, the initial step in calculating an appropriate penalty for the NORs would reduce the penalty from \$15.96 million to \$4.94 million, calculated as follows:

258 days (1/1/21 to 9/15/21) x \$5,000 =	\$1,290,000
174 days (9/16/21 to 3/8/22) x \$0 =	\$0
365 days (3/9/22 to 3/8/23) x \$10,000 =	\$3,650,000
Total:	\$4,940,000

The foregoing interim figure begins to approximate a penalty that is more reflective of the actual nature, circumstances, extent and gravity of the purported Section 40501 violation. However, this penalty would still be the largest penalty in FMC history to be collected from a single respondent and would be arbitrarily and capriciously severe when compared to penalties imposed for other

violations that were both more severe and more long-lasting. For that reason, and those reasons set forth below, further reduction of this amount is required.

3. *The Presiding Officer Failed to Consider Mitigating Factors*

In assessing the amount of the penalty, the ID failed to consider mitigating factors as required by FMC regulations. Accordingly, a further reduction of the penalty is warranted.

The FMC's regulations, in listing the factors to be considered when determining the amount of a penalty, include "such other matters as justice may require." 46 C.F.R. § 502.603(b)(1)(ii)(D). Such factors include mitigating factors that may warrant a reduction in an otherwise applicable penalty. Here, the Presiding Officer failed to consider a number of significant mitigating factors.

The first of these is the fact that MSC voluntarily refunded \$2,059,584.37 in DDP overcharges, the majority of which was refunded prior to the initiation of this proceeding. FOF #107. This not only supports the Presiding Officer's conclusion that MSC's NOR billing did not constitute a "practice" within the meaning of 46 U.S.C. § 41102(c), it also shows that MSC's policy was to bill NORs as dry containers and that any billing inconsistent with that policy was not a deliberate attempt to generate additional revenue. MSC's voluntary refunding of the overcharges warrants a reduction to the penalty.

The second is the fact that MSC cooperated with the "audit" conducted by the FMC staff which led to this initiation of this proceeding. The only "audit" authorized by FMC regulations is a service contract audit. 46 C.F.R. § 530.15. There is no comparable "audit" provision with respect to tariff charges. The only way the Bureau of Enforcement, Investigation and Compliance may lawfully investigate or "audit" tariff charges is through the issuance of a Commission order pursuant to 46 U.S.C. § 40104 or pursuant an order of investigation pursuant to 46 C.F.R. § 502.283. Neither type of order was issued in connection with the "audit" of MSC's NOR billing.

Rather, the purported “audit” came in the form of a letter to MSC, demanding records and information. Although not lawfully required to respond to such a request, MSC nonetheless did so voluntarily and, in so doing, was truthful and forthcoming in its dealings with the Commission. Such cooperation should be acknowledged and should result in a significant mitigation of the penalty.

Third, the year 2021 – the time period herein at issue – was the height of the Covid-19 pandemic and the supply chain congestion that resulted from trade conditions during that pandemic. MSC’s personnel were focused on trying to accommodate the high demand for cargo space and to deal with supply chain bottlenecks, which bottlenecks included a significant increase in the number of DDP charges being challenged by customers. During a unique period such as the Covid-19 pandemic, with the heightened number of DDP issues caused by supply chain congestion, it is not surprising that the complaints received about DDP charges on NORs did not stand out and prompt further investigation to the extent they may have during a period of time that did not involve such unprecedented operational challenges.

Finally, MSC attempted to resolve this matter through negotiation after this enforcement proceeding was initiated. An effort by a respondent to settle an actual or potential enforcement matter has been treated as a mitigating factor in the past. *Stallion Cargo, Inc. -Possible Violations of Sections 10(A)(1) and 10(B)(1) of the Shipping Act of 1984*, Docket No. 99-18, 2001 WL 35725562 at * 20 (FMC 2001). Failure to consider MSC’s efforts here is an error on the part of the Presiding Officer.

These significant mitigating factors warrant a further reduction in the penalty.

4. *The Presiding Officer Overstated the Impact of The Violation*

One of the factors relied upon by the Presiding Officer in assessing the penalty was “the disproportionate administrative burden for MSC’s customers.” ID at 47. Reliance upon this factor was an error as there is no finding of fact with respect to what burden, if any, MSC’s customers experienced and no testimony from those customers with respect to any burden. In the absence of evidence in the record and of one or more findings of fact, a conclusion that MSC’s customers experienced a “disproportionate administrative burden” is unsupported by the record and has the effect of improperly inflating the impact of the violation. The fact that MSC voluntarily refunded the overcharges, many of them without any request by the customer, also undermines this finding and reduces the gravity of the violation.

In light of this and the mitigating factors cited above, a penalty in the range of \$2 to \$3 million, as originally advocated by MSC, remains appropriate. In any event, the maximum penalty should under no circumstances exceed \$4.25 million.

C. The Penalty Is Unconstitutional

1. *A Penalty for Violating Section 40501 Must Be Assessed by An Article III Court*

Because the penalty was imposed by an administrative law judge rather than an Article III court, the Presiding Officer’s oversight of the proceeding and the penalty are unconstitutional.⁹

In *Securities and Exchange Commission v. Jarkesy*, 603 U.S. ___, 144 S. Ct. 2117 (2024), the U.S. Supreme Court held that a civil penalty imposed by an administrative law judge at the SEC (which was affirmed by the SEC) was unconstitutional because such a penalty could only be imposed by an Article III court. The Court’s rationale was two-fold. First, a civil penalty that is

⁹ The Presiding Officer noted this argument at p. 23 of the ID but declined to address it on the grounds that constitutional issues are generally beyond the scope of the Commission’s jurisdiction. While it appears the Presiding Officer is correct with respect to the Commission’s jurisdiction, the argument is nonetheless set forth here in order to ensure that it is preserved for review by the U.S. Court of Appeals.

punitive and does not involve reparations to an injured party is a legal rather than equitable remedy, and legal remedies are a type of remedy at common law that could only be enforced in courts of law. *Jarkesy* at 9, citing *Tull v. U.S.*, 481 U.S. 412 (1987); *Jarkesy* at 11. Second, if the alleged statutory violation is in the nature of an action at common law, then adjudication by an Article III court is mandatory (*Jarkesy* at 14), and the agency cannot rely on the so-called public rights exception to the Article III adjudication requirement. The present proceeding is on all fours with *Jarkesy*.

As in *Jarkesy*, the civil penalty here is intended solely to punish/deter and does not involve any compensation to any injured party. *ID* at p. 44. Therefore, under *Jarkesy*, a civil penalty under the Shipping Act is a legal remedy that must be adjudicated by an Article III court unless the public rights exception applies.

The public rights exception permits Congress to assign certain matters to an agency for a decision rather than an Article III court without violating the Seventh Amendment. In this regard, however, the Constitution prohibits Congress from “withdraw[ing] from judicial cognizance any matter which, from its nature, is the subject of a suit at common law.” *Jarkesy* at 13, citing *Murray’s Lessee v. Hoben Land & Improvement Co.*, 18 How. 272, 284 (1856). As the Court in *Jarkesy* articulated the issue: “If a suit is in the nature of an action at common law, then the matter presumptively concerns private rights, and adjudication by an Article III court is mandatory.” *Id.* at 14. In other words, if a statutory cause of action has an analog in the common law, such statutory cause of action does not qualify for the public rights exception and must be heard by an Article III court.¹⁰

¹⁰ Even with respect to matters that arguably fall within the scope of the public rights doctrine, the presumption is in favor of Article III courts. *Jarkesy* at 4, citing *Northern Pipeline Constr. Co. v. Marathan Pipe Line Co.*, 458 U.S. 50, 69, n. 23 (plurality opinion).

Here, the statutory action has a common law analog. The statutory basis for the penalty is Section 40501 of the Shipping Act, which states:

Each common carrier and conference shall keep open to public inspection in an automated tariff system, tariffs showing all its rates, charges, classifications, rules, and practices between all points or ports on its own route and on any through transportation route that has been established.

46 U.S.C. § 40501(a)(1). The requirement to publish a tariff is based upon and is intended to enforce the obligation of common carriers at common law to serve the shipping public in a non-discriminatory fashion. H.R. Rep. No. 98-53 (Part I)(1983), pp. 18-19. This is confirmed by the prohibitions found at 46 U.S.C. §§ 41104(a)(4) and (a)(8), which prohibit discriminatory or disparate treatment of customers for service under a tariff. Because the requirement to publish and adhere to a tariff is the statutory embodiment of a common carrier's obligations under common law (much as the securities laws at issue in *Jarkesy* are the statutory embodiment of common law fraud actions), a proceeding based on a failure to publish or adhere to a tariff has a common law analog in the obligations of a common carrier to treat customers equally. *Hewitt v. New York, N.H. & H.R. Co.*, 284 N.Y. 117 (1940) citing *Lowry v. Chicago, B. & Q. R. Co.*, 46 F. 83, 85 (C.C.D. Neb. 1891)(provisions of Interstate Commerce Act prohibiting unjust and unreasonable charges and unjust discrimination merely declaratory of common law).

In light of the foregoing, the Commission enforcement action against MSC does not qualify for the public rights exemption, and imposition of a penalty by the Commission is a violation of the Seventh Amendment.

2. *The ALJ Lacked the Authority to Impose the Penalty*

In this and similar proceedings, ALJs perform executive functions, including oversight of discovery processes, weighing of evidence, and issuing punitive penalties, that are reserved for Presidential oversight. The performance of these functions is prohibited under Article II of the

Constitution, rendering the Presiding Officer’s initial decision constitutionally defective. As the Fifth Circuit determined in its *Jarkesy* decision, the questions to be considered are whether an ALJ serves a sufficiently important executive function and whether restrictions on removal of an ALJ are sufficiently onerous that the President has lost the ability to take care that the laws are faithfully executed.

The Take Care Clause in Article II of the Constitution authorizes the President to appoint officers and inferior officers of the United States. U.S. Const. Art. II, § 2. ALJs are inferior officers of executive agencies. *Lucia v. SEC*, 585 U.S. 237, 238 (U.S. 2018); *Fleming v. United States Dep’t of Agric.*, 987 F.3d 1093, 1103 (D.C. Cir. 2021). Because inferior officers play a significant role in executing the laws of agencies, it is crucial that the President is able to exercise authority over them. *Jarkesy v. SEC*, 34 F.4th 446, 464 (5th Cir. 2022).

FMC ALJs, subject to the Shipping Act, Commission regulations and Commission review, render adjudicatory decisions, have the power to regulate the presentation of evidence, issue opinions evaluating that evidence, and make other substantive and procedural decisions. 46 C.F.R. §§ 501.3(e), 502.25(b), 502.227. As inferior officers, however, FMC ALJs have multiple tiers of job protection. 5 U.S.C. § 7521(1); 5 U.S.C. § 1202(d). *See also Lucia*, 584 U.S. at 238.

Pursuant to the foregoing statutory provisions, ALJs can only be fired by the FMC for good cause, as determined by the Merit Systems Protection Board (“MSPB”) on the record after a hearing. 5 U.S.C. § 7521(1). Moreover, the President can only remove MSPB officers due to “inefficiency, neglect of duty, or malfeasance in office.” 5 U.S.C. § 1202(d). There is extensive authority holding these type of removal protections to be unconstitutional. *See Free Enter. Fund v. Public Co. Accounting Oversight Bd.*, 561 U.S. 477 (2010); *Jarkesy*, 34 F.4th 446; see also *VHS Acquisition Subsidiary No. 7 v. NLRB*, 2024 WL 5056358 (D.D.C. 2024); *Energy Transfer, LP v.*

NLRB, 2024 WL 3571494 (S.D. Tex. 2024); *Space Exploration Technologies Corp. v. NLRB*, 2024 WL 3512082 (W.D. Tex. 2024); *Aunt Bertha v. NLRB*, 2024 WL 4202383 (N.D. Tex. 2024).

Most notably, the Fifth Circuit has held that the statutory removal restrictions for SEC ALJs are unconstitutional. *Jarkesy*, 34 F.4th at 463, *aff'd* on other grounds, 144 S. Ct. 2117 (2024). In so doing, the Fifth Circuit emphasized the SEC ALJs' substantial authority over administrative case records, noting that ALJs controlled the "presentation and admission of evidence," had the ability to punish "contemptuous conduct," and often gave final and binding decisions. *Id.* at 464. The same logic applies here.

The reasoning in *Jarkesy* and the federal district court decisions cited *supra*. shows the constitutional flaws in FMC proceedings. Like SEC ALJs, and as inferior officers, FMC ALJs have multiple tiers of job protection from the MSPB and President. Like SEC ALJs, FMC ALJs have the authority to issue decisions that become final, manage evidentiary matters, and penalize parties for contempt. 46 C.F.R. § 502.25(b) (2025). In effect, FMC ALJs execute laws without restrictions and without adequate supervising authority, in violation of the Take Care Clause. U.S. Const. Art. II, § 2. In light of the foregoing, the Presiding Officer's performance of important executive functions in adjudicating this proceeding and his initial decision should be declared unconstitutional, and this proceeding should be terminated.

V. CONCLUSION

In light of the foregoing, the Commission should reverse the finding of a violation, vacate the penalty as unconstitutional or, at a minimum, reduce the penalty to a maximum of \$4.25

million, and terminate this proceeding.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that a copy of the foregoing was served upon the attorneys in the Office of Enforcement identified below by delivering the aforementioned document via email transmission this 19th day of March, 2025.

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